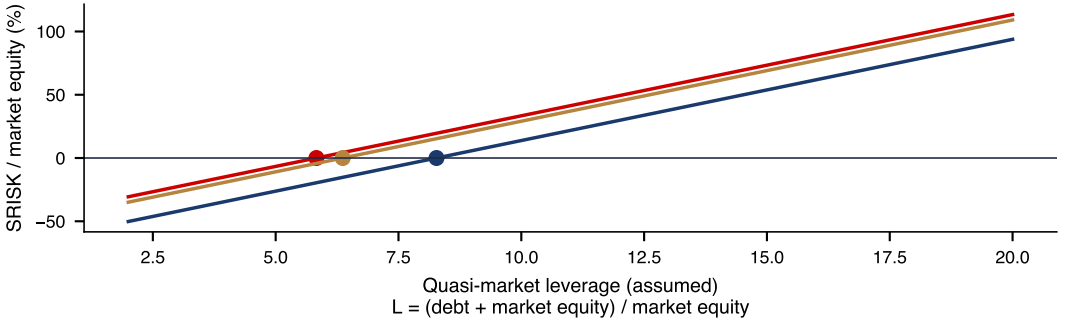
SRISK / market equity (%)
100
50
0
−50
2.5
5.0
7.5
10.0
12.5
15.0
17.5
20.0
Quasi-market leverage (assumed)
L = (debt + market equity) / market equity
ING: LRMES 58%, break-even leverage 5.8
HSBC: LRMES 37%, break-even leverage 8.3
Santander: LRMES 53%, break-even leverage 6.4